

Chapter 6

Dhandho 101: Invest in Existing Businesses

There are a plethora of asset classes you could choose to invest in—CDs, U.S. Treasuries, bonds, stocks, real estate, private businesses, gold, silver, platinum, oil futures—the list is endless. If you examine returns from the broad stock market indexes over the past one hundred years, it is pretty clear that stocks do better than virtually all other easily accessible asset classes. The evidence overwhelmingly suggests that, over the long haul, the best place to invest assets is in common stocks. Let's investigate this peculiar creation of mankind called the stock market.

Humans have walked this earth for some fifty thousand years and the buying and selling of assets between humans has flourished for thousands of years. The first stock market was formed in just 1790 in Philadelphia, followed by the New York Stock Exchange in 1792.¹ A stock is seen by many as a cryptic piece of paper whose price wiggles around continuously. That's one way to look at stocks. A far better way, suggested by Benjamin Graham, is to think of them as an ownership stake in an existing business. Papa Patel's motel is not publicly traded on any stock exchange. If it were and you bought some of it, now you and Papa Patel are partners. As the motel throws off gobs of cash, you'd benefit just as he does.

There are six big advantages that the stock market offers versus the buying and selling of entire businesses:

1. When you buy an entire business, like Papa Patel did, there is some serious heavy lifting required. You either need to run it or find someone competent who can. This is no small task. Papa Patel did well, but it required tremendous energy and dedication from his whole family for several years to make it work.
2. When you buy a stock, you now have an ownership stake in the underlying business with one huge advantage—the business is